

Nexora Financial Services - Annual Report 2023

Prepared by the Strategy and Analytics Division. Confidential - For internal use only. Fiscal year ending December 31, 2023.

Executive Overview

2023 was a transformative year for Nexora Financial Services. Total revenue reached \$142 million, a 23% increase year-over-year. Net profit grew to \$31.2 million (margin: 22%). Customer base expanded from 85,000 to 114,000 active accounts, a 34% increase driven primarily by the launch of the NexoraPay mobile platform in Q2.

Key Performance Indicators

- Total Revenue: \$142 million (2022: \$115 million, +23% YoY)
- Net Profit: \$31.2 million (2022: \$19.8 million, +58% YoY)
- Total Assets Under Management: \$2.8 billion
- Active Customer Accounts: 114,000
- Customer Acquisition Cost (CAC): \$187 per customer
- Customer Lifetime Value (CLV): \$2,340
- Employee Headcount: 892 (2022: 731)
- Net Promoter Score (NPS): 67 (industry average: 42)

Revenue Breakdown by Division

- Retail Banking: \$58 million (41% of revenue)
- Wealth Management: \$39 million (27% of revenue)
- Insurance Products: \$28 million (20% of revenue)
- Digital / Fintech Services (NexoraPay): \$17 million (12% of revenue)

Key Findings

Three strategic themes defined 2023: digital acceleration, geographic expansion, and operational efficiency.

Digital Acceleration: The NexoraPay app reached 62,000 downloads within 6 months of launch and processed \$890 million in transactions in its first year. Digital channels now account for 71% of all customer interactions, up from 44% in 2021.

Geographic Expansion: Nexora opened 3 new regional offices in Austin, Denver, and Miami contributing \$12 million in new revenue. The Southeast US market showed the highest growth rate at 41%.

Operational Efficiency: Cost-to-income ratio improved from 68% to 61%. Automation of back-office processes saved an estimated \$4.2 million annually.

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Risks and Challenges

- Regulatory compliance costs increased 18% due to new SEC reporting requirements.
- Cybersecurity incident in March 2023: 1,200 accounts temporarily frozen. No data breached. Cost: \$780,000.
- Rising interest rates compressed mortgage lending margins by approximately 1.4%.
- Talent acquisition remains competitive: 34 senior roles unfilled for more than 90 days.
- NexoraPay faces growing competition from three well-funded fintech startups.

Strategic Recommendations for 2024

- Accelerate NexoraPay international rollout - target Canada and UK by Q3 2024.
- Launch premium wealth management tier (Nexora Elite) for clients with \$500k+ AUM.
- Invest \$8 million in cybersecurity infrastructure upgrades across all systems.
- Partner with two regional credit unions to expand rural customer base.
- Reduce CAC by 20% through targeted digital marketing optimisation.
- Hire 120 additional staff focused on engineering, compliance, and customer success.

Quarterly Revenue Summary

- Q1 2023: \$29.4 million
- Q2 2023: \$33.1 million (NexoraPay launched June 2023)
- Q3 2023: \$37.8 million (strongest quarter)
- Q4 2023: \$41.7 million (year-end investment surge)

Conclusion

Nexora enters 2024 from a position of strength. The digital strategy is yielding measurable results, the balance sheet is healthy, and customer sentiment is at an all-time high. The board has approved a 2024 revenue target of \$178 million with continued focus on NexoraPay growth and geographic diversification.